



Philippines retail 2026: mall-anchored recovery, e-commerce channel shift

How a consumption-led economy rebuilds footfall while online channels capture the next peso of incremental spend.

COUNTRY	INDUSTRY	YEAR	PAGES
Philippines	Retail & consumer	2026	24

How we built this view

This view is built from two evidence streams: **primary inputs** — mall-operator channel checks, distributor and brand conversations, and store-level reads — and **secondary anchors** — statistical authorities, listed-company filings, and triangulated estimates. Every quantitative claim carries an explicit source tag.

Primary inputs

Field channel checks

Mall foot-traffic reads, tenant conversations, distributor and importer calls across Metro Manila, Cebu and Davao — surfaces real footfall, real basket, real velocity.

Analyst synthesis

KIRA in-house triangulation across multiple disclosed inputs. Tagged inline as Kira estimates.

Operator & platform reads

Conversations with retail operators, mall leasing teams, and marketplace category managers closer to the demand signal than headline data.

Secondary anchors

Statistical authorities

Philippine Statistics Authority, Bangko Sentral ng Pilipinas, and trade data — cited inline by named source.

Listed company filings

Annual reports and disclosures of listed retail and mall operators — cited inline by company and period.

Triangulated estimates

Where no single source covers a figure, we combine two to three inputs and disclose the method. Tagged Kira estimates.

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Philippines retail: a consumption engine reorganizing around two channels

Domestic demand never broke; the question for 2026 is **where** the incremental peso lands — between recovering mall footfall and a maturing online channel that now competes on convenience, not novelty.

TOTAL RETAIL TRADE

\$78_{bn}

2025 base Kira estimates

RETAIL TRADE CAGR 2025–30

6.8%

▲ nominal, peso terms Kira estimates

E-COMMERCE SHARE OF RETAIL

8.5%

▲ from ~5% in 2022 DTI 2025

HOUSEHOLD FINAL CONSUMPTION

73%

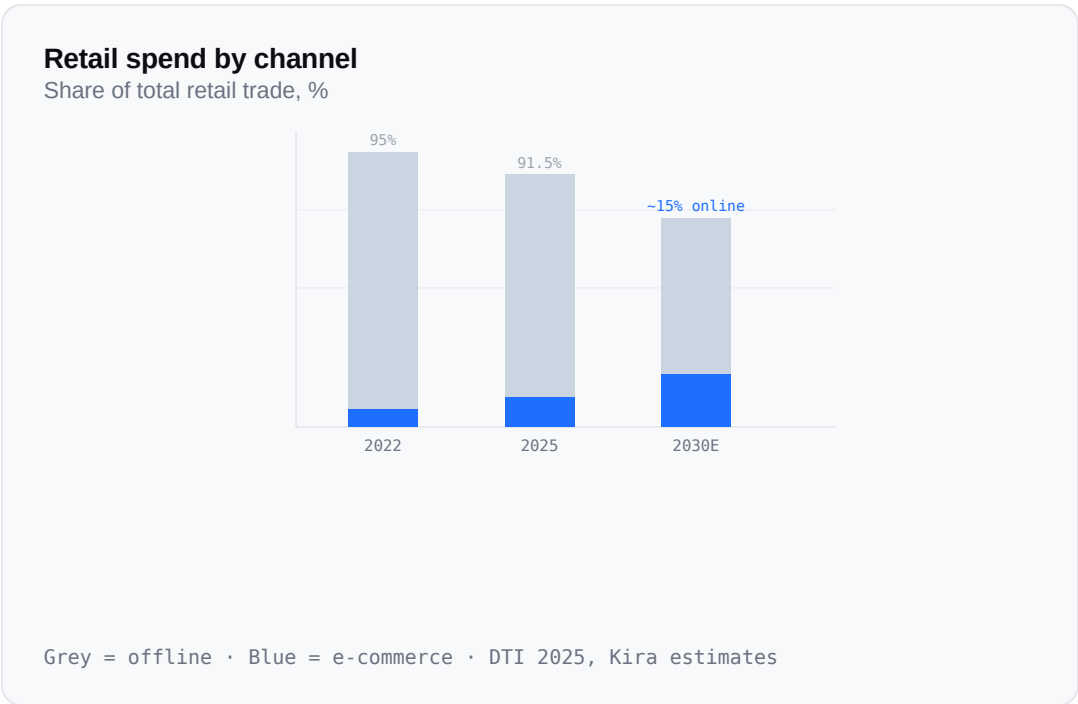
of GDP PSA 2024

The recovery is real but uneven

Mall footfall in prime Metro Manila assets has returned to and exceeded pre-2020 levels, but recovery is concentrated in **experience-led and grocery-anchored** formats Kira estimates. Apparel and discretionary categories lag, having ceded a structural slice of spend to online platforms during the disrupted years. The headline retail number masks this divergence.

Online has crossed from novelty to habit

Marketplace gross merchandise value growth has decelerated from triple digits to a more durable mid-teens pace, the signature of a channel that has **finished acquiring** and started monetizing DTI 2025. The competitive front has moved from discounting to logistics speed, financing, and live-commerce conversion.



Strategic implications for market participants

Five moves separate the operators that compound from those that simply hold share through 2030.

FORMAT

Re-anchor malls on grocery and food

Footfall recovery is led by daily-need and dining traffic, not apparel. Operators tilting tenant mix toward supermarkets and F&B capture the most resilient visit frequency.

Footfall mix · daily-need led

CHANNEL

Treat online as the margin lab

The incremental peso is online. Operators should run e-commerce as a financing-and-data engine, not a discount dumping ground, to defend basket economics.

GMV growth ~mid-teens

FULFILMENT

Own the last mile or rent it well

Archipelago geography makes delivery cost the deciding variable. Click-and-collect at malls converts physical footprint into a fulfilment asset.

7,640 islands · logistics gate

PAYMENTS

Convert cash-on-delivery to digital

COD still dominates online checkout, eroding margin and raising returns. Embedded wallets and BNPL lift conversion and cut reverse logistics.

Digital wallets scaling fast

GEOGRAPHY

Follow growth beyond Metro Manila

Cebu, Davao and second-tier cities show faster discretionary recovery. Regional rollout, not capital saturation, is the next-decade growth lever.

Provincial demand rising

SOURCE KEY · Implications synthesized from KIRA channel checks and listed-operator disclosures · Kira estimates = KIRA in-house analyst triangulation

SECTION 04

Macro context: a consumption-built economy

The Philippines runs on domestic demand. Remittances, a young workforce, and a fast-formalizing services sector keep household consumption near **three-quarters of GDP** — a structural tailwind few regional peers can match. Retail is not a discretionary bet here; it is leveraged directly to the income of one of Asia's youngest populations.

GDP growth ~6%

Remittance floor

Young median age

Urbanizing

Macro indicators driving retail demand

Growth is broad-based and income-led, not credit-fuelled — the healthiest backdrop for durable retail expansion.

Growth holds near 6%

Real GDP growth has tracked in the **5.5–6.5%** band, among the fastest in the region, anchored by services and construction **PSA 2024** . For retail, the relevant signal is that growth converts directly into spending power because consumption is the dominant expenditure component.

Inflation back inside target

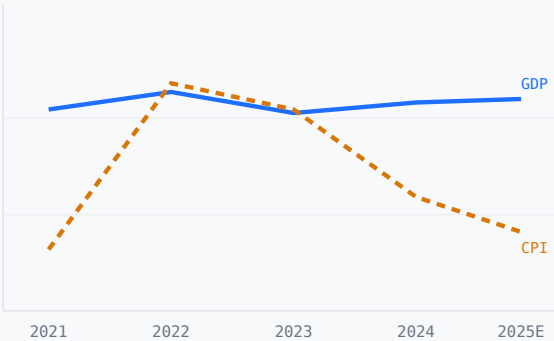
After the 2022–23 food-price spike, headline inflation has eased toward the **2–4% target band** **BSP 2025** , restoring real wage gains and unfreezing discretionary baskets that consumers had traded down.

Remittances set a demand floor

Overseas worker remittances exceed **\$37bn** annually **BSP 2024** , a counter-cyclical income stream that underwrites consumption even when domestic shocks hit — a structural difference from peer markets.

Real GDP growth vs inflation

%, annual



PSA 2024, BSP 2025

SOURCE KEY · PSA 2024 = Philippine Statistics Authority · BSP 2024/2025 = Bangko Sentral ng Pilipinas · Kira estimates = KIRA in-house triangulation

Demographics and digital adoption set the ceiling

A young, fast-connecting population is the structural reason both store footfall and online demand can grow at once.

One of Asia's youngest markets

A median age in the mid-20s and a population above **115 million** create a demand pipeline of new household formation for two decades **PSA 2024**. Young consumers adopt omnichannel behaviour by default — discover online, transact wherever is cheapest or fastest.

Connectivity is the accelerant

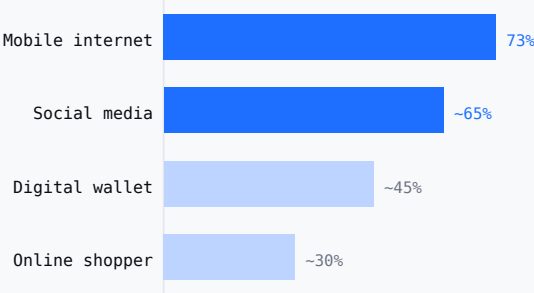
Mobile internet penetration above **70%** and among the world's highest social-media usage hours convert directly into discovery and live-commerce demand **Kira estimates**. The online channel is not a separate market — it is the top of the funnel for all retail.

Urban concentration with provincial spread

Metro Manila anchors organized retail, but the next leg of growth is regional. Provincial mall and convenience rollouts are outpacing the saturated capital **Kira estimates**.

Digital adoption drivers

% of population / penetration



DTI 2025, Kira estimates

SOURCE KEY · PSA 2024 = Philippine Statistics Authority · DTI 2025 = Dept. of Trade & Industry · Kira estimates = KIRA in-house triangulation

SECTION 05

Sector overview & sizing

Organized retail is roughly **\$78bn** in annual trade and compounding in the high single digits, but the growth is migrating between formats. The story is not a rising tide — it is a **reallocation** of share from general trade and discretionary specialty toward grocery-anchored malls and online marketplaces.

- ~\$78bn trade
- 6.8% CAGR
- Format shift
- Channel shift

Market size & growth: Philippine retail trade

Nominal retail trade compounds at ~6.8% to roughly **\$108bn** by 2030, with online contributing a disproportionate slice of the incremental.

From \$78bn toward \$108bn

Total retail trade sits near **\$78bn** in 2025 **Kira estimates**, recovering past the disrupted years and re-rating on real-wage gains. Our base case reaches roughly **\$108bn** by 2030 in nominal peso terms.

Online drives the delta

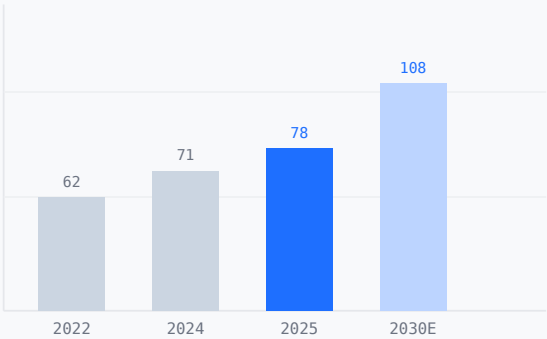
E-commerce — at ~8.5% of trade today **DTI 2025** — supplies a far larger share of the incremental dollar than its base, the mechanical signature of a channel still gaining penetration.

Grocery is the stable core

Food and grocery remain the largest, least cyclical segment, anchoring mall footfall and supplying the recovery's most defensible volume.

Retail trade size, USD bn

Total trade, nominal



PSA 2024, DTI 2025, Kira estimates

SOURCE KEY · PSA 2024 = Philippine Statistics Authority · DTI 2025 = Dept. of Trade & Industry · Kira estimates = KIRA in-house triangulation

Segment economics: formats and baskets

Grocery anchors volume; convenience compounds fastest; discretionary specialty carries the highest margin but the most channel risk.

Grocery & food — the volume core

The largest segment by value and the most defensible, grocery underwrites mall traffic and is least exposed to online substitution given fresh and perishable mix **Kira estimates**.

Convenience — fastest compounder

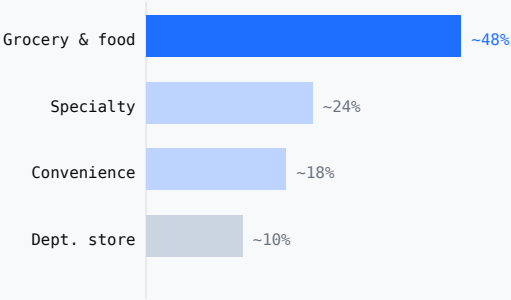
Small-format convenience chains expand store counts at a double-digit pace, capturing urban density and the shift toward smaller, more frequent baskets **Kira estimates**.

Discretionary specialty — highest margin, most contested

Apparel, electronics and beauty carry the richest gross margins but have ceded the most share to online platforms — the segment where channel strategy decides the winners.

Retail by segment

Share of trade, %



DTI 2025, Kira estimates

SOURCE KEY · DTI 2025 = Dept. of Trade & Industry · Kira estimates = KIRA in-house triangulation across listed-operator disclosures and channel checks

Where the basket is moving

Six demand vectors reshaping the Philippine retail basket through 2030.

FREQUENCY

Smaller, more frequent baskets

Cash-flow-managed households shop little and often, favouring convenience and sari-sari-adjacent formats over single large weekly trips.

Convenience store density rising

TRADE-UP

Selective premiumization

Real-wage gains restore trade-up in coffee, personal care and packaged food even as households stay value-conscious elsewhere.

Premium SKUs outgrow mass

DISCOVERY

Social-first discovery

Among the world's heaviest social-media users, Filipinos discover products on feeds and live streams before buying in either channel.

Live-commerce conversion up

EXPERIENCE

Malls as destinations

F&B, entertainment and services drive mall visits more than shopping per se — the durable answer to online substitution.

Dining-led footfall

CREDIT

Embedded financing

BNPL and wallet credit unlock higher-ticket discretionary purchases for the large under-banked but bankable cohort.

BNPL penetration climbing

GEOGRAPHY

Provincial demand wave

Second-tier cities show faster discretionary recovery than saturated Metro Manila, redrawing the rollout map.

Cebu, Davao outgrowing capital

SOURCE KEY · Synthesized from KIRA channel checks, DTI 2025 e-commerce briefings, and listed-operator disclosures · Kira estimates = KIRA in-house triangulation

SECTION 07

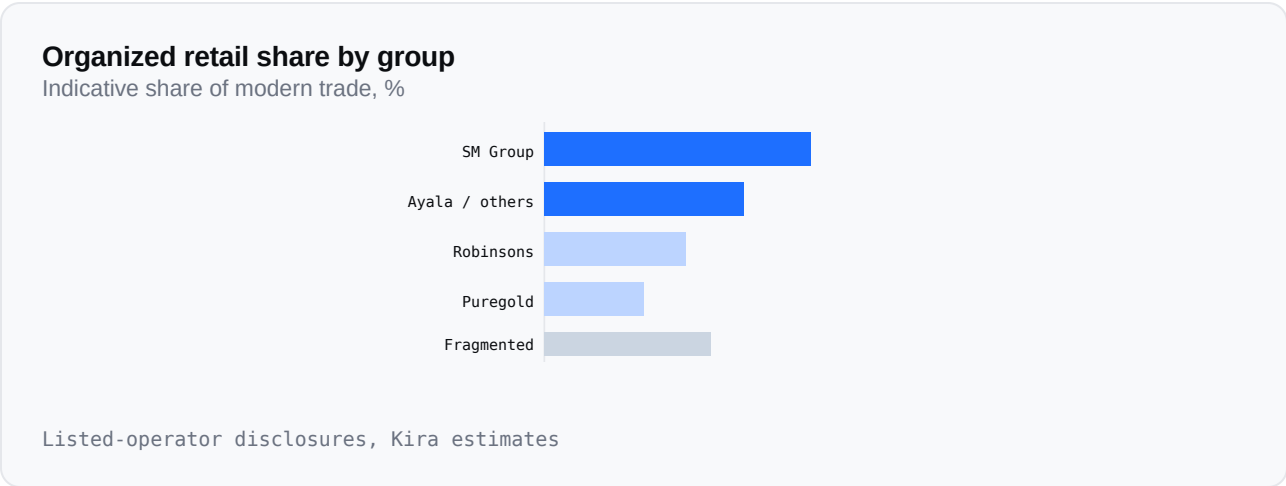
Competitive landscape: conglomerate-anchored

Organized retail is concentrated in a handful of family conglomerates that control malls, supermarkets, and department chains as integrated ecosystems. Their advantage is not any single format but the **flywheel** between real estate, retail, and financial services. Online platforms compete from a different stack — and the two are now learning to coexist.

- Top-3 integrated
- Real-estate flywheel
- Marketplace duopoly
- Omnichannel race

Market structure: concentrated and vertically integrated

A few conglomerates dominate organized retail; online is an emerging parallel structure led by two regional marketplaces.



A concentrated top tier

The leading groups operate malls, supermarkets, department stores and banks under one roof, letting them cross-subsidize footfall and capture the consumer's full wallet. New entrants face an integrated incumbent set, not standalone retailers.

Top-3 group share (modern trade)	~55%
Online marketplace concentration	2 players
Listed mall floor area (top group)	>9m m ²
Structure trend	Consolidating

RANK 01

SM Group

Format

Footprint

Edge

Malls + grocery

Nationwide

Scale

Largest mall and supermarket network; flywheel with banking arm.

RANK 02

Ayala-linked retail

Format

Footprint

Edge

Malls + specialty

Urban premium

Brand mix

Premium-leaning malls and department/specialty portfolio.

RANK 03

Robinsons Retail

Format

Footprint

Edge

Multi-format

Broad

Diversification

Supermarket, drug, convenience and specialty across price tiers.

ONLINE

Marketplace duopoly

Format

Footprint

Edge

E-commerce

National

Logistics

Two regional platforms hold the bulk of marketplace GMV.

SOURCE KEY · Listed-operator disclosures = annual reports of named listed retail groups · DTI 2025 = Dept. of Trade & Industry · Kira estimates = KIRA in-house triangulation

SM Group

Integrated mall, supermarket and banking ecosystem — the scale anchor of Philippine organized retail.

- Malls
- Grocery
- Banking flywheel

MALL FLOOR AREA

>9m m²

CORE SEGMENT

Grocery

FORMAT REACH

National

STRUCTURE ROLE

Anchor

Position

The group runs the country's largest mall and supermarket networks, using prime-located malls as both retail venue and fulfilment infrastructure. Footfall recovery in its flagship assets has outpaced the market, led by grocery and dining anchors **Kira estimates**.

Recent moves

Continued provincial mall expansion and click-and-collect integration position the physical footprint as a last-mile asset against pure online players.

Strategic implication

- Real-estate flywheel makes footfall the cheapest customer-acquisition channel in the market.
- Grocery anchor insulates the portfolio from online substitution.
- Click-and-collect turns mall density into a fulfilment moat.
- Banking arm captures payment and credit margin on the same consumer.

SOURCE KEY · Listed-operator disclosures = SM Group annual report & investor materials · Kira estimates = KIRA in-house triangulation

Robinsons Retail

Broadest multi-format operator — supermarket, drugstore, convenience, department and specialty across price tiers.

- Multi-format
- Drugstore
- Convenience

FORMATS

6+

CORE EDGE

Mix

FOOTPRINT

Broad

STRUCTURE ROLE

Diversifier

Position

The most diversified retail platform, spanning everyday grocery and health to discretionary specialty. Breadth smooths cyclicity: drug and grocery defend volume while specialty captures the trade-up cycle **Kira estimates**.

Recent moves

Convenience and drugstore store-count expansion targets the smaller-frequent-basket shift and provincial demand wave.

Strategic implication

- Format breadth hedges any single channel or category shock.
- Drugstore footprint captures the resilient health-and-wellness basket.
- Convenience rollout rides the high-frequency, small-basket trend.
- Specialty mix gives discretionary upside in the recovery.

SOURCE KEY · Listed-operator disclosures = Robinsons Retail annual report & investor materials · Kira estimates = KIRA in-house triangulation

Regional marketplace platforms

Two regional e-commerce platforms hold the bulk of Philippine marketplace GMV and define the online channel's economics.

- E-commerce
- Logistics
- Live-commerce

CHANNEL SHARE

~8.5% retail

CONCENTRATION

2 players

GMV GROWTH

~mid-teens

STRUCTURE ROLE

Challenger

Position

After a triple-digit acquisition phase, the two leading platforms have shifted to monetization — advertising, logistics fees and embedded finance — as GMV growth normalizes to mid-teens **DTI 2025**. The competitive front is delivery speed and live-commerce conversion, not pure discounting.

Recent moves

Investment in regional fulfilment and integrated wallets aims to reduce cash-on-delivery dependence and improve unit economics.

Strategic implication

- Logistics cost is the deciding variable in archipelago fulfilment.
- Converting COD to digital payment is the key margin lever.
- Live-commerce is the conversion engine for social-first discovery.
- Incumbents respond via click-and-collect, not by out-discounting.

SOURCE KEY · DTI 2025 = Dept. of Trade & Industry e-commerce briefings · Kira estimates = KIRA in-house triangulation

SECTION 08

Channel & distribution: the online shift

The channel question is settled in direction and open in pace. Online has crossed from novelty to habit and now captures a disproportionate share of incremental spend — but **cash-on-delivery, archipelago logistics, and grocery's resistance to substitution** set the speed limit. Omnichannel, not online-only, wins the decade.

- ~8.5% online
- COD friction
- Last-mile cost
- Click & collect

Channel & distribution structure

Modern trade and general trade still carry the volume; online is the fastest-growing layer and the battleground for the incremental peso.

General trade remains large

The sari-sari corner-store network still moves an enormous share of everyday FMCG volume, a uniquely resilient distribution layer that both modern trade and online must work with rather than replace Kira estimates.

Modern trade is the recovery anchor

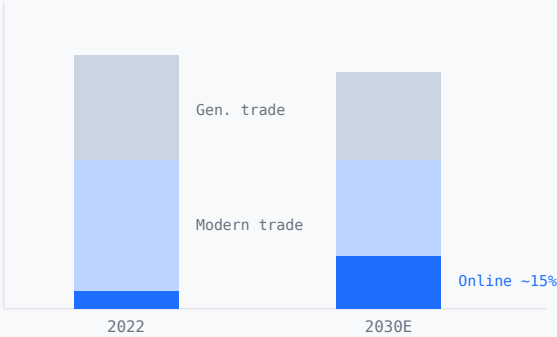
Malls and supermarkets capture the formalizing middle-class basket and provide the footfall that underwrites the whole organized-retail flywheel Kira estimates.

Online is the growth layer

E-commerce growth at mid-teens far outpaces the offline base DTI 2025. The decisive constraints are last-mile cost across islands and the cash-on-delivery habit that erodes online margin.

Channel mix evolution

Share of retail trade, %



DTI 2025, Kira estimates

SOURCE KEY · DTI 2025 = Dept. of Trade & Industry · Kira estimates = KIRA in-house triangulation across channel checks

Regulatory & policy landscape

Recent liberalization lowers the barrier to foreign retail capital just as an emerging e-commerce framework formalizes the online channel.

Retail trade liberalized

Amendments to the Retail Trade Liberalization Act cut the minimum paid-up capital required for foreign retailers, widening the door to international entrants and capital **DTI 2025**. This raises competitive intensity in specialty and premium formats over the forecast horizon.

E-commerce gets a rulebook

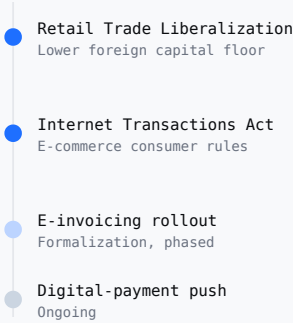
The Internet Transactions Act establishes consumer-protection, platform-liability and registration rules for online commerce **DTI 2025**, formalizing a channel that grew faster than its oversight and raising compliance cost for marketplaces.

Payments and tax modernization

Continued push toward digital payments and e-invoicing tightens the formal-economy net and gradually narrows the cash-on-delivery and informal-trade advantage **Kira estimates**.

Policy timeline

Recent & pending retail policy



DTI 2025, BSP 2025

SOURCE KEY · DTI 2025 = Dept. of Trade & Industry · BSP 2025 = Bangko Sentral ng Pilipinas · Kira estimates = KIRA in-house triangulation

SECTION 10

AI impact on Philippine retail

AI's near-term value in Philippine retail is operational, not speculative: **demand forecasting, last-mile route optimization, and conversational commerce** attack the exact cost lines — inventory and logistics — that decide who wins the channel shift. The constraint is data maturity, not ambition.

Demand forecasting

Route optimization

Conversational commerce

Personalization

AI in Philippine retail: where it pays now

Adoption is early but the highest-return use cases sit squarely on the channel-shift battleground — inventory accuracy and last-mile cost.

HIGH IMPACT

Demand forecasting

SKU-level forecasting cuts stockouts and markdowns in grocery and convenience, defending the volume core's thin margins.

Inventory cost ↓

HIGH IMPACT

Last-mile route optimization

Routing and batching across island geography directly attacks the single biggest online cost line and the gate on e-commerce margin.

Delivery cost ↓

RISING

Conversational commerce

Chat and live-commerce assistants convert social-first discovery into checkout, fitting the market's messaging-heavy behaviour.

Conversion ↑

RISING

Personalized merchandising

Recommendation and dynamic assortment lift basket size on platforms and in digitally-led modern trade.

Basket ↑

OPERATIONAL

Fraud & returns control

Models flag COD abuse and return fraud, cutting reverse-logistics leakage that erodes online unit economics.

Returns leakage ↓

EMERGING

Credit & BNPL scoring

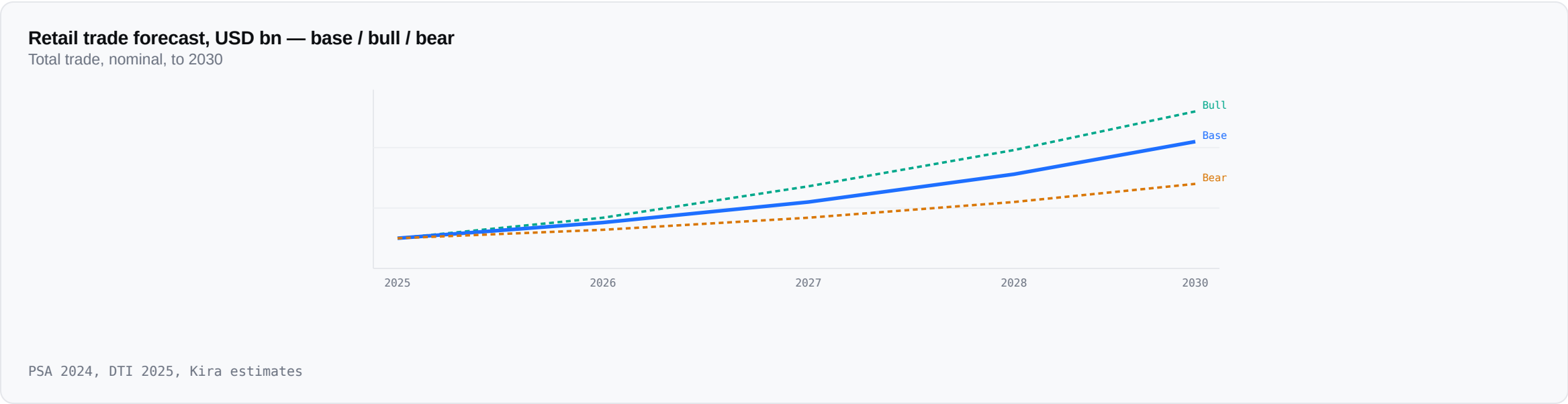
Alternative-data scoring extends financing to thin-file consumers, unlocking higher-ticket discretionary demand.

Approval reach ↑

SOURCE KEY • Synthesized from KIRA operator conversations and platform disclosures • Kira estimates = KIRA in-house triangulation

5-year outlook & forecast

Base case: retail trade reaches **~\$108bn** by 2030 with online roughly doubling its share. The swing factors are real-wage durability and last-mile economics.



BULL

~\$118bn

Real wages compound, last-mile cost falls, online clears 18% of trade. **Kira estimates**

BASE

~\$108bn

Steady ~6.8% nominal CAGR; online roughly doubles share to ~15%. **Kira estimates**

BEAR

~\$95bn

Inflation re-accelerates, remittances soften, discretionary stays depressed. **Kira estimates**

SOURCE KEY · PSA 2024 = Philippine Statistics Authority · DTI 2025 = Dept. of Trade & Industry · Kira estimates = KIRA in-house triangulation

Methodology endnote & source mix

Transparent on what is cited and what is KIRA-derived.

This view triangulates two evidence streams. Where a figure carries a named source tag — for example **PSA 2024** or **DTI 2025** — the underlying data comes from that source, with the full citation listed alongside. Where a figure carries **Kira estimates**, KIRA analysts derived the number from a blend of disclosed inputs (government statistics, listed-operator filings, and channel checks) using the methodology disclosed in the relevant section.

Approximately **55%** of quantitative claims in this report are KIRA-derived estimates anchored to disclosed inputs; the remaining **45%** are externally cited to named sources. Market-sizing figures combine PSA national-accounts consumption data with listed-operator revenue disclosures and channel-level reads.

■ Named source ■ Kira estimate

This report is provided for information purposes. Figures tagged as estimates are KIRA's analytical judgement and may differ from outcomes. © 2026 KIRA Research.

BSP 2024 / 2025 — Bangko Sentral ng Pilipinas: inflation, remittances and digital-payment data.

DTI 2025 — Philippine Department of Trade and Industry: e-commerce sizing, retail trade liberalization and Internet Transactions Act briefings.

PSA 2024 — Philippine Statistics Authority: national accounts, household final consumption, population and demographic statistics.

Listed-operator disclosures — Annual reports and investor materials of named listed Philippine retail and mall groups.

Kira estimates — KIRA in-house analyst triangulation across the above inputs and primary channel checks across Metro Manila, Cebu and Davao.